

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to
the Interstate Transmission System**

)
)

Docket No. RM26-4-000

**COMMENTS
OF OLD DOMINION ELECTRIC COOPERATIVE**

Old Dominion Electric Cooperative (“ODEC”) appreciates the opportunity to provide comments responsive to the Notice Inviting Comments issued in the above-referenced proceeding on October 27, 2025, pertaining to the Secretary of Energy’s October 23, 2025, proposed advance notice of proposed rulemaking¹ (“Proposed ANOPR”) made pursuant to section 403 of the Department of Energy Organization Act.

This proceeding offers the Commission a unique opportunity to provide clarity and establish a durable framework for the interconnection of large loads to the transmission system. ODEC recognizes the national imperative to integrate emerging, energy-intensive facilities, such as data centers and advanced manufacturing facilities, onto the grid in a manner that supports reliability and economic growth. However, this pursuit must be achieved without shifting unjust or unreasonable costs onto incumbent native load customers, particularly residential and small commercial ratepayers. The Commission should use this opportunity to take measures to ensure that the costs associated with accommodating these extraordinary new demands are borne by the new large loads driving them, consistent with cost-causation principles.

¹ U.S. Dep’t of Energy, Letter from Sec’y Chris Wright to Fed. Energy Regulatory Comm’n (Oct. 23, 2025), <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>.

Above all, the Commission must ensure that reliability remains uncompromised as these unprecedented loads are integrated, because a secure and dependable grid is the foundation upon which all other policy objectives rest.

I. Comments on the 14 Principles Included in the ANOPR

The Secretary of Energy's letter releasing the Proposed ANOPR for consideration and final action by the Commission emphasized the urgent need for timely, orderly, and non-discriminatory interconnection of large loads to the transmission system. In pursuit of these goals, the Proposed ANOPR includes 14 principles to inform the Commission's rulemaking procedures. ODEC's comments on each principle, presented in the order outlined in the Proposed ANOPR, are set forth below.

PRINCIPLE 1: “[T]he Commission’s jurisdiction should be limited to interconnections directly to transmission facilities, consistent with FERC’s seven-factor test.”

ODEC supports this principle, *provided that* the Commission clarifies in the Final Rule that the determination whether interconnection facilities are transmission or local distribution must be made on a case-by-case, functional basis consistent with the Commission's seven-factor test, as opposed to a bright-line rule such as voltage-based or how the facilities may be characterized for other purposes. The Proposed ANOPR cites to *Cal. Pac. Elec. Co.*, 133 FERC ¶ 61,018, at P 45 (2010) (“*California Pacific*”). In that case, the Commission advised that the primary function of a facility determines whether the facility is under the Commission's jurisdiction.² The Commission also noted that “the term ‘distribution’ is often confused with ‘local distribution’” and that while “local distribution” is a legal term under the Federal Power Act and the Commission does not have jurisdiction over “local distribution”, “distribution” is a vague term that usually refers to lower-

² *Id.* at P 45.

voltage lines that are not networked and carry power in only one direction.³ As the Commission has observed, some lower-voltage facilities are “local distribution” facilities that are not under the Commission’s jurisdiction, but some lower voltage facilities are used for jurisdictional service and are subject to the Commission’s jurisdiction.⁴

ODEC does not support a brightline rule that the Commission’s jurisdiction should be limited to interconnections directly to only those facilities that have been labeled or characterized as “transmission facilities.” While we agree with the need to distinguish between the Commission’s jurisdiction and the state/retail jurisdiction, ODEC is concerned that adopting or permitting a bright-line rule could be shortsighted. Such a limitation would overlook the downstream realities of integrating large new loads, particularly in electric cooperative service territories where interconnection of the new large-load facilities often occurs with lower-voltage distribution facilities between the large load and transmission facilities. While these distribution facilities may resemble transmission facilities due to their high-voltage capabilities, they are not part of the transmission system. Ignoring these complexities risks creating a gap in the Commission’s rules for large-load interconnections that will impede the Commission’s exercise of its jurisdiction while respecting the limits of its authority. Instead, as the Commission has struck this balance in Order No. 888 through the use of the seven-factor functional analysis, the Commission should adopt the same approach for large-load interconnections.

³ *Id.* at P 38.

⁴ *Id.* at P 45 (citing *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, FERC Stats. & Regs. ¶ 31,146, at P 803-804 (2003), *order on reh’g*, Order No. 2003-A, FERC Stats. & Regs. ¶ 31,160 (2004), *order on reh’g*, Order No. 2003-B, FERC Stats. & Regs. ¶ 31,171 (2004), *order on reh’g*, Order No. 2003-C, FERC Stats. & Regs. ¶ 31,190 (2005), *aff’d sub nom. Nat’l Ass’n of Regulatory Util. Comm’rs v. FERC*, 475 F.3d 1277, 374 U.S. App. D.C. 406 (D.C. Cir. 2007)).

For example, ODEC is primarily a transmission-dependent wholesale electric utility. All eleven of our member distribution cooperatives depend on at least one third-party Transmission Owner (“TO”) to provide the transmission network that moves bulk power from generation sources to their distribution systems. For our standard connections serving residential and small commercial customers, the TO provides the connection point where our cooperative distribution members tie into the transmission system at voltages typically 115 kV or higher. The distribution cooperative owns the distribution substation, including the transformers with high-side voltage at transmission levels. This same approach is used when ODEC’s member cooperatives connect large loads. In these cases, the TO constructs a multi-terminal transmission switchyard, and the distribution cooperative builds a nearby distribution station with transformers and connects to the TO’s switchyard. Depending on the developer, either the distribution cooperative or the large load customer installs distribution-voltage circuits to distribution transformers outside the building, then runs lower-voltage cables to the customer’s switchgear inside the building. The distribution utility does not treat these substations as “dedicated facilities” and retains the option to serve other customers from them. For example, if the local sewer utility required a pumping station with a high-volume electrical load, it would be served from the same substation.

As a result, limiting the Commission’s jurisdiction only to interconnections directly to “transmission facilities” would be difficult to interpret. The Commission should clarify that any such rule must be based upon the functional use analysis per the seven-factor test.

PRINCIPLE 2: “. . . the reforms should only apply to new, large loads greater than 20 MW, and for hybrid facilities with greater than 20 MW.”

ODEC does not support the proposed 20 MW threshold for defining “large loads” and recommends that the Commission not follow the *pro forma* Large Generator Interconnection Agreement and Procedures in this regard. In our view, 20 MW is too low and would unnecessarily

capture projects that do not present the same planning and reliability challenges as truly large loads. If the threshold is too low, it could lead to a greater number of load interconnections being processed under the large-load interconnection rules than is feasible or necessary. We believe a threshold of 50 MW is more appropriate and ensures that reforms focus on projects with a material impact on the bulk power system. A 50 MW load will almost certainly require the construction of a new substation facility, which represents a significant investment and planning effort at both the transmission and distribution levels. By contrast, a 20 MW load could theoretically be accommodated at an existing substation if sufficient capacity is available, meaning it does not necessarily trigger major infrastructure changes or regional reliability concerns. We also note that PJM's initial proposal in its Critical Issue Fast Path on Large Load Additions set a threshold of 50 MW or more to trigger additional limitations for new large load requests. To the extent individual transmission providers determine that there is a need for separate rules for interconnection for loads less than 50 MW, the Commission can review such proposals on a case-by-case basis.

PRINCIPLE 3: “[L]oad and hybrid facilities should be studied together with generating facilities.”

ODEC does not support studying load and hybrid facilities together with generation facilities. ODEC and the other PJM TOs jointly filed Comments in EL25-49-000⁵ stating that loads and resources should be metered separately, even if they are located on the same or adjacent parcels. Accurate metering is essential because transmission cost allocation, load forecasting, and market participation all depend on precise data. The Proposed ANOPR notes that joint studies would allow for efficient siting and minimize the need for costly network upgrades. However, efficient siting and accurate assessments are not mutually exclusive. Instead, there are compelling reasons to study

⁵ Answer of the Indicated PJM Transmission Owners in response to PJM Interconnection, L.L.C.'s 03/24/2025 Answer, Docket No. EL25-49-000, at 10 (filed April 23, 2025)

these facilities separately. Generators experience both planned and unplanned outages; thus, the transmission facilities must be evaluated with only the load operational, not the generation. Additionally, the generator and the load may retire at different times, so each must be able to stand alone in future planning scenarios. Transmission providers can assess planned and existing transmission facilities and network upgrades in these separate analyses, in order to mitigate against unnecessary network upgrades.

It is also important to recognize that not all generators are equivalent. For example, a solar facility located next to an around-the-clock load does not offset demand after sunset. Moreover, the relationship between load and generation is not one-to-one. To accurately assess this match, factors such as Effective Load Carrying Capability (“ELCC”), ancillary services, fuel type, and storage must be considered. These complexities reinforce the need for separate, detailed studies rather than treating hybrid/co-located generation and load as a single entity to expedite the study process.

While ODEC supports loads bringing their own generation, the general principle is that specific operational requirements should be considered, given the complexity of the daily grid interactions of these combined facilities.

PRINCIPLE 4: “[L]oad and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties.”

ODEC generally supports this principle but strongly recommends creating a large load queue, along with load forecasts and operating protocols, to help administer these requirements. In PJM, the Regional Transmission Organization already has standards that require sufficient transmission and distribution facilities to be in place before interconnecting the new load; thus, ODEC views it as a very reasonable extension to require that sufficient generation supply be available as well. We

rely on and support the comments submitted by the National Rural Electric Cooperative Association to address the jurisdictional nuances associated with this position.

PRINCIPLE 5: “[H]ybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested.”

ODEC does not support studying hybrid facilities based on the injection/withdrawal rights requested because we believe it will cause issues stemming from generator outages and the retirement of load or generating facilities, as the transmission system will still need to be built to accommodate either the load or the generating facility operating independently in the future. The ambiguity regarding whether either the load or the generators may continue operating at full capacity when the other becomes unavailable is concerning, as it creates uncertainty for reliability, cost allocation, and market participation.

During the PJM study process, we have observed that many projects initially proposed as solar with storage ultimately become solar-only projects, constituting a material modification. If projects are studied as hybrid facilities with combined load and generation, the concept of material modification should apply to both components. Any significant change to either the load or the generation should require the project to refile, ensuring that system studies remain accurate and reliable.

PRINCIPLE 6: “[A]ny hybrid interconnection should be required to install system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights.”

ODEC supports requiring hybrid interconnections to install system protection facilities. ODEC’s distribution cooperative members are already installing similar system-protection devices on storage facilities.

Additional consideration should be given to the following complexity associated with system protection facilities. Most current system protection facilities trigger a complete disconnection

from the grid during certain fault conditions. This type of protection scheme could result in a significant loss of load or a generation event. The design of interconnection facilities adds further complexity, such as large load campuses with multiple distribution substations serving facilities with 200–300 MW of load per substation to meet regional planning requirements and NERC loss-of-load reporting guidelines (EOP-004-4). When generation is located at these sites, it may need to be connected separately because the load can be served by multiple transmission lines. This raises a critical concern: a generator outage should not cause a trip of loads served by transmission lines that are not electrically connected to that generator. Clear standards are needed to prevent cascading disconnections and ensure reliability in these complex configurations. The Final Rule should direct transmission providers or NERC to address these concerns and propose standards, as necessary.

PRINCIPLE 7: “[T]he interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited.”

ODEC supports the encouragement of voluntary mechanisms to expedite interconnection studies, particularly for large loads that agree to be curtailable and for hybrid facilities that agree to be curtailable and dispatchable. However, these expedited processes must not compromise system reliability or allow standards to fall below acceptable levels. Any accelerated study approach should still conform to existing procedures and technical requirements, while permitting adjustments to study timelines to achieve faster results without sacrificing reliability. ODEC is skeptical that this could be achieved in 60 days. If the Final Rules adopts a requirement for expedited interconnection studies for large loads and hybrid facilities that agree to be curtailable and dispatchable, respectively, the Commission should leave to each transmission provider to determine the feasible time period for the expedited process, taking into account reliability and resources, as well as other generation and/or load interconnection queue processes.

PRINCIPLE 8: “[L]oad and hybrid facilities should be responsible for all network upgrades that they are assigned through the interconnection studies.”

ODEC strongly supports allocating 100 percent of the interconnection costs to the large load and hybrid facilities assigned to them through the interconnection studies. This cost allocation principle should apply consistently to both PJM Supplemental Projects and Baseline RTEP projects. Additionally, ODEC neither supports nor opposes offsetting these costs through a crediting mechanism. FERC has long recognized a crediting mechanism for interconnecting customers bearing the upfront cost of network upgrades.⁶ However, the network upgrades necessary to reliably interconnect these new large loads are unprecedented. ODEC would support the Commission revisiting the applicability of the “but for” test from Order No. 2003 regarding the network upgrades needed to serve new large loads.⁷ The core rationale of the crediting mechanism contemplated by this principle and Order 2003 may be found not to apply to new interconnecting large loads and hybrid facilities, as any system reliability benefits are far outweighed by the direct benefit to the interconnecting customer.

PRINCIPLE 9: “To the extent the interconnection customer is not the transmission owner, the interconnection customer shall be given the same or equivalent option to build as provided to generator interconnection customers.”

ODEC supports an option for customers to interconnect and build their own interconnection facilities if it is a hybrid facility with a generation nameplate greater than the load amount (i.e., net injection to the grid only) and it is located on the same parcel with a single interconnection point, and as long as the load and generation are metered separately. However, we must also emphasize that the obligation to serve is the right of the local distribution utility. ODEC does not support

⁶ *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, FERC Stats. & Regs. ¶ 31,146, at PP 22, 696 (2003).

⁷ *Id.*

allowing a large-load customer to construct its own delivery facilities, as such an arrangement would require the local distribution company to operate the large-load customer's facilities outside the utility's rate base.

PRINCIPLE 10: “[A]n existing generating facility that seeks to enter a partial suspension to serve a new load at the same location must go through a system support resource/reliability must run type study.”

If large loads seek to expedite interconnect by bringing their own generation, then using an existing generator by placing it in partial suspension does not solve the resource adequacy issue and therefore should not qualify as the large load bringing new generation. While ODEC does support an option for customers to interconnect and build their own generation if it is located on the same parcel with a single interconnection point, the generation should be “new.” This should not include any existing generators that deactivate all or part of their capacity to execute more lucrative large-load bilateral supply contracts with large loads that possess unlimited financial resources. The definition of new resources should be resources that have not previously injected energy into the grid. Some merchant generation companies have publicly stated that uprate costs exceeding a certain dollar threshold would trigger the entire resource being declared “new”. ODEC does not support this concept. It is simply a scheme that allows merchant generation companies to negotiate lucrative supply contracts with wealthy new large loads at the expense of everyday consumers.

Additionally, any transmission costs determined by a deactivation study that would be done, should partial suspension be allowed, need to be directly charged to the large load.

PRINCIPLE 11: “[U]tilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights.”

ODEC does not support limiting utilities serving large loads' transmission service obligation based on their withdrawal rights. We believe the premise of this principle is impractical given the

realities of operating and maintaining generation facilities. Generators will experience planned and unplanned outages, which are not likely contemplated in the facilities' withdrawal rights. The load will then request special treatment to allow it to operate during these outages. While the transmission system may be able to support some or all of the load, the large load will benefit from the transmission system without adequately contributing to its upkeep and maintenance over the life of the project. This principle will shift the cost to other ratepayers that should be borne by the large load.

Additionally, the large load will not have gone through the studies required to determine if transmission upgrades were needed. Finally, the generator will probably not operate 24 hours per day, although the load may operate 24 hours per day. This mismatch in timing will require large loads to be studied and will result in transmission upgrades that entail maintenance and operating costs, which may not be covered by the withdrawal rights granted for the hybrid facility.

The Commission should ensure that large loads pay their fair share of costs. Facilities served by dedicated generation and hybrid facilities should be responsible for contributing to the upkeep and maintenance of the transmission system based on peak demand, without consideration of any co-located generation facilities. To achieve this, large loads and generation resources must be metered separately so accurate data is available to allocate transmission costs appropriately.

PRINCIPLE 12: “[U]tilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on peak demand, without consideration of any co-located generation.”

ODEC supports large loads being responsible for providing ancillary services based on peak demand. Even though large loads are generally considered flat, they are not constant. Their demand fluctuates with the time of day and seasonal temperature changes, creating a need for ancillary services, such as regulation and reserves, to maintain system balance. Building a generator to serve

a large load must address the entire challenge. Generators are rated by fuel type, storage, and performance history, and in PJM, they receive an ELCC value that is lower than the nameplate capacity of the resource. To match a large load's energy requirements, the load demand should be compared to the generator's ELCC value, not its nameplate rating. But that comparison doesn't include the ancillary services, which remain essential. The same resource constraints that exist for energy and capacity also apply to ancillary services. New generators should provide enough capacity to contribute to ancillary service pools, and the only way to ensure proper compensation and cost allocation is to meter the generator and the large load separately.

PRINCIPLE 13: “[Need for a transition] plan to implement proposed reforms.”

The build cycle for large loads and generation is not aligned. Large loads can be ready in roughly half the time it takes to bring generation online, and this does not account for transmission upgrade timelines. While loads can physically interconnect at any time, capacity may not be available, and adding a significant load without additional resources risks system disruption due to frequency and voltage variations that can trigger cascading failures. It will also drive up energy prices as older, higher-cost generators are dispatched, impacting all consumers. Any transition plan must address resource adequacy for both system stability and consumer costs. If large loads are allowed to interconnect without bringing their own capacity resources or before the system has adequate capacity, they must accept curtailment obligations to protect reliability. Existing consumers who have paid for the current generation should be shielded from cost impacts through hedging or other mechanisms, without regulatory barriers.

PRINCIPLE 14: “[U]tilities serving large loads must meet all applicable NERC reliability standards and OATT provisions.”

ODEC supports requiring utilities serving large loads to meet all applicable NERC reliability standards and OATT provisions. Utilities and large loads must comply with all applicable

reliability standards, and to achieve this, these loads should be registered with NERC. Furthermore, existing standards should be enhanced to address the additional operational complexities that large loads introduce to the grid.

II. Conclusion

WHEREFORE, for the foregoing reasons, ODEC urges the Commission to adopt an approach that aligns cost responsibility with cost causation, protects incumbent customers, and advances reliability as its foremost obligation.

Respectfully submitted,

/s/ Adrienne E. Clair

Adrienne E. Clair

Jenna Cliatt

Thompson Coburn LLP

1909 K Street, N.W., Suite 600

Washington, D.C. 20006-1167

(202) 585-6900

(202) 585-6969 (fax)

aclair@thompsoncoburn.com

jcliatt@thompsoncoburn.com

*Attorneys for Old Dominion Electric
Cooperative*

Dated: November 21, 2025

CERTIFICATE OF SERVICE

I hereby certify that on this 21st day of November 2025, I have caused a copy of the foregoing to be served upon each party designated on the Commission's Official Service List for this proceeding.

/s/ Adrienne E. Clair